Canon

CANON MEXICANA, S. DE R.L. DE C.V.

TITULO: **Purchase orders processing policy – Order Desk ITCG**					
REF: ITCG OD - 01	ACTIVE SINCE			VERSION	PAGE 1 DE 6
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	01	06	18	**1 .0**	

A) OBJECTIVES

- Establish the guidelines for the correct purchase order processing through Order Desk ITCG.
- Assure the correct and timely information flow for PO processing.
- Assign responsibilities to involved areas to guarantee adequate orders follow up.

B) SCOPE

This policy covers the process starting with the reception of a PO and until Order Desk notifies Credit area about its release (in the case of Retail), or confirms to the client (in the case of Wholesalers and Photoshop).

C) GENERAL INFORMATION

1. Canon Mexicana S. de R.L. de C.V. sells products only through its Authorized Distributors, departmental and self-service stores.

2. ITCG products price list is presented in Mexican Pesos, and created and delivered to clients by Planning & Business Intelligence area.

3. Order Desk ITCG is only authorized to accept PO's of ITCG products, otherwise, the PO cannot be processed. Every PO received by Order Desk ITCG is final, no cancellations or modifications are accepted.

4. ITCG division has two people assigned to Order Desk for PO processing, each of them with assigned customers portfolio.

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D) Order Desk ITCG Service

5. Order Desk will receive orders from 08:00 hrs. to 17:00 hrs. according to corporate working schedule.
6. Depending on the schedule of PO reception, the orders will be confirmed by Order Desk under the following considerations:

    6.1 Orders delivered by the client or sales executive from 08:00 to 16:00 hrs., will be confirmed the same day, as long as no inconsistencies are found.

    6.2 Orders delivered after 16:30 hrs., will be confirmed the following working day before 10:00 hrs., as long as no inconsistencies are found.

    6.3 Any exception or special request should be notified via e-mail to Order Desk and its manager, as well as Credit and Warehouse areas, to assure the process can be completed satisfactorily.

7. Order Desk suggests to deliver orders opportunely to assure any problem can be solved and the order can be processed within the same working day.

8. Order Desk will receive orders according to the delivery schedule communicated by Warehouse, which details the deadlines to place orders and assure their delivery within the active month.

    8.1 It is sales executives responsibility to notify their clients about the PO receiving period and product delivery schedule, according to the monthly activities communicated by Warehouse and Accounting, especially concerning outbound shipping.

    8.2 Order Desk will notify the sales executive about orders received beyond these timeframes, which cannot be processed unless otherwise agreed by Sales and Warehouse, assuring the delivery within the same month.

    8.3 It is the sales executive's responsibility to keep control of the rejected orders, to notify the client about the situation, and to follow up as needed. All orders that were not processed must be delivered again to Order Desk on the next period to be processed. Order Desk is released of any responsibility regarding lost orders that were not processed as long as the sales executive was notified about this situation.

9. Order Desk ITCG closing date will be communicated by Accounting area through their monthly activities calendar.

E) Input Information

10. It is Retail's sales executives responsibility to download POs through EDI or the client's intranet and deliver it to Order Desk for its processing.

11. Order Desk will only process orders properly supported by a formal PO from the distributor or, if applies, with a PO elaborated by the sales executive according to the template designated for that purpose (Appendix 1 - Official CMEX PO template).

    11.1 It is the sales executives' responsibility to follow up orders elaborated by them to assure these are not duplicated by the same orders sent afterwards by the client.

F) Order Specifications

12. All orders delivered to Order Desk must include the complete and correct information described in the following table; otherwise, the orders cannot be processed.

    12.1 By including all the requested information, Order Desk guarantees order processing without inconveniences.

    12.2 Statistically, the main reason for processing delays are price differences between PO and S21, therefore, sales executives must assure any special price, discount, or negotiation that affects prices is approved through Lotus and updated in S21 to avoid processing problems.

1	Date
2	Client
3	Client number
4	Address
5	Purchase order number
6	Product codes and description (complete, reviewed, active codes)
7	Quantity
8	Correct prices (before tax and confirmed in S21 and special prices)
9	Payment conditions
10	Totalized orders
11	Instruction to hold or release orders (in the case of incomplete orders)
12	Special instructions (i.e. no BO, special price or business, demo product, fixed asset, store opening, direct delivery, programmed delivery, etc.)
13	Order cancellation date and/or confirmation of extension (including update in client's system)
14	Codes, quantity or price changes detail (include or modify on the order)
15	Backorder indications
16	If applicable, no P&V and OE mixed product lines on the same order

13. Regarding backorder, it is Order Desk's responsibility to assign it according to Product Control area's information notified via e-mail.

    13.1 It is Sales area responsibility to opportunely notify Product Control and Order Desk for special allocation requirements.

13.2 It is Sales area responsibility to notify Product Control about any specifics regarding releasing reserved products.

13.3 It is Sales and/or Product Control responsibility to request Order Desk opportunely regarding backorder cancellation as required.

G) Order Rejection

14. Order Desk ITCG will reject orders that cannot be processed for any incongruence, such as:

    14.1 Price difference between OC and S21
    14.2 Price difference between price list, PO, and S21

    14.3 Special prices not updated in S21

    14.4 Incorrect codes

15. Order Desk will notify the sales executive and/or the client about any issue affecting PO processing.

16. It is sales executives' responsibility to communicate with their client for modifications or clarifications.

17. In the case of special prices, sales executives must follow up with Planning & Business Intelligence area for required updates in S21, and confirm to Order Desk when requesting again the order processing.

18. In the case orders cannot be 100% fulfilled and there's no specification (of holding or releasing incomplete PO), Order Desk will notify the executive and supervisor, and will wait for instructions. It is Sales responsibility to follow up every notification considering cancellation dates of POs.

19. Any delay in the process attributable to price difference, incorrect codes, or lack of specifications, is sales executive's responsibility, as it is assumed Order Desk will receive orders properly reviewed and including complete information specified in subsection **F) Order Specifications** of this policy. Order Desk guarantees that having these complete specifications will allow order processing without inconveniences within the service schedule described in subsection **D) Order Desk ITCG** service of this policy.

20. Orders not including special instructions will be processed as regular orders, as long as no differences are found between PO and S21.

H) Output Information - Order Release Confirmation

21. Once the order is ready for its release, Order Desk will notify according to the following:

21.1 For Retail orders, Order Desk will notify via e-mail to the sales executive and Credit area about the PO release.

21.2 For Wholesalers and Photoshop orders, Order Desk will notify via e-mail to the sales executive and client about the PO confirmation.

21.3 When special cases require modifications to the regular process, Order Desk and involved areas will plan the necessary changes to assure coordination and process flow.

22. In all cases, starting from Order Desk's notification about the release or confirmation of the order, sales executives are responsible of the follow up regarding Credit release, Warehouse process, invoicing, and product delivery.

I) Related Documents

a) REG - 009: Order Desk ITCG order reception schedule

b) Appendix 1: Official CMEX PO template

c) ITCG PROC 01 - Order Desk ITCG order processing procedure

Appendix 1 - Official CMEX PO template

Canon

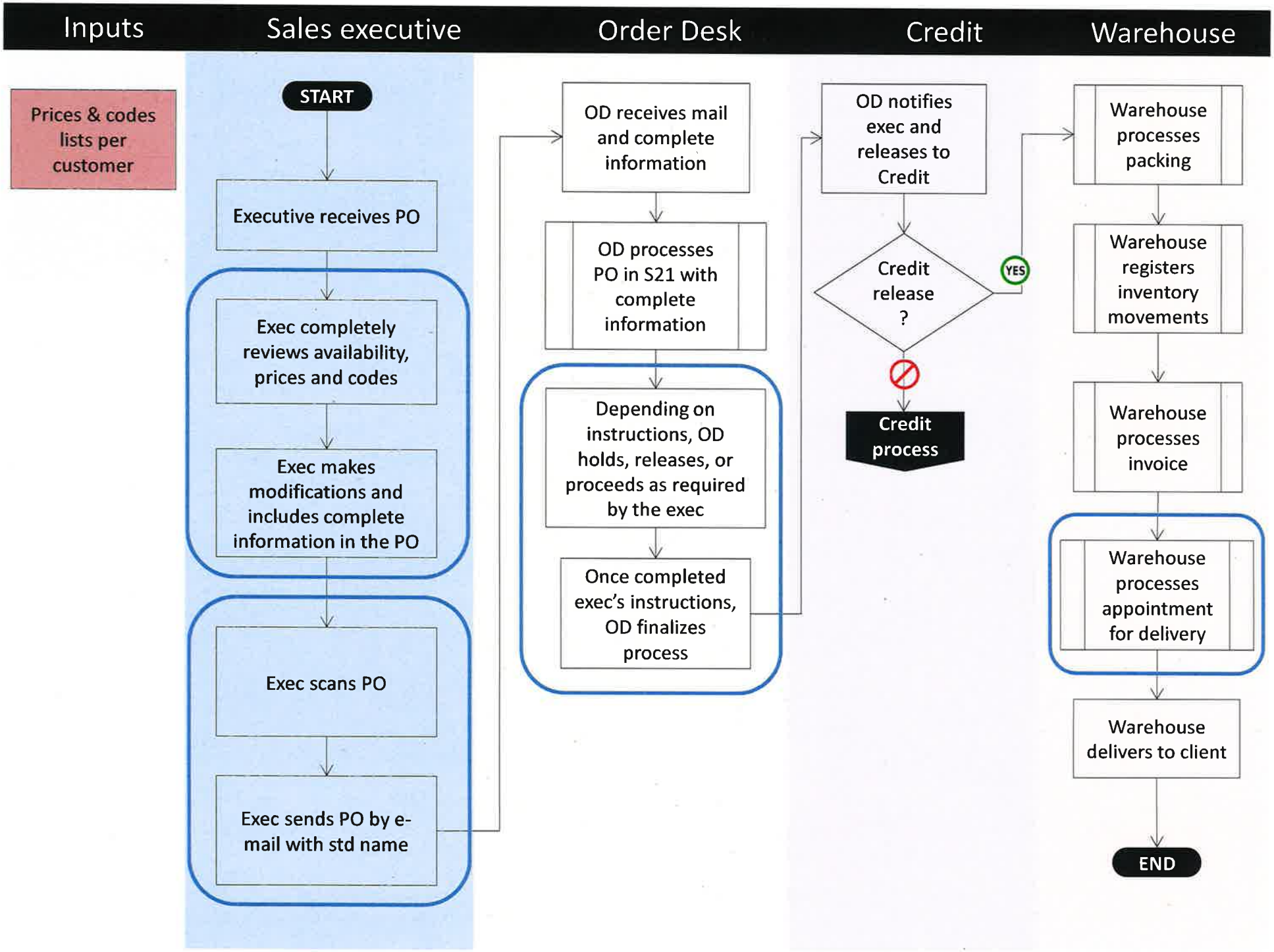
CANON MEXICANA S. DE R. L. DE C.V.

SOLICITUD DE ORDEN DE COMPRA

RAZON SOCIAL: DIRECCION: COLONIA: CIUDAD: C.P.: TEL.: FAX /CTA CORREO	CONSIGNAR A: SUCURSAL #	FECHA DE PEDIDO
	No PEDIDO / No CUENTA	TRANSPORTE

ITEM	CODIGO	DESCRIPCION	CANT	USO DEL CLIENTE SURT	USO DEL CLIENTE PRECIO	

ELABORO NOMBRE Y FIRMA AUTORIZO NOMBRE Y FIRMA	OBSERVACIONES	No Orden: CONDICIONES DE PAGO: 30 DIAS RESPONSABLE DE ESTA ORDEN NOMBRE Y FIRMA AUTORIZO NOMBRE Y FIRMA


Inputs
Sales executive
Order Desk
Credit
Warehouse
Prices & codes lists per customer
START
Executive receives PO
Exec completely reviews availability, prices and codes
Exec makes modifications and includes complete information in the PO
Exec scans PO
Exec sends PO by e-mail with std name
OD receives mail and complete information
OD processes PO in S21 with complete information
Depending on instructions, OD holds, releases, or proceeds as required by the exec
Once completed exec's instructions, OD finalizes process
OD notifies exec and releases to Credit
Credit release ?
YES
Credit process
Warehouse processes packing
Warehouse registers inventory movements
Warehouse processes invoice
Warehouse processes appointment for delivery
Warehouse delivers to client
END